



Forecasting

Predicting future business performance is necessary to estimate probable sales, income, costs, and profitability and thus gain investment and maintain confidence in the company.

How it works

Forecasting success or failure relies on historical data—financial statements, financial ratios, and Key Performance Indicators—that reflect business

operation and can be tracked over time. The tracked and monitored data can provide an early warning system for potential problems. For small businesses and start-ups, accurate forecasts provide a basis for

Forecasting with Z-score models

Realizing that traditional financial ratios, such as the ratio of costs to revenue, created only a partial picture of a business's financial performance, Altman devised a set formula that combined four or five key ratios to give a Z score. The model has proven 90 percent accurate in predicting business failure over one year, and 80 percent accurate over two years.



Working capital / total assets

A measure of liquidity: the more working capital in a company, the more it is able to pay its bills.



Market value of equity / book value of total liabilities

A measure of the market confidence in the company: a ratio of less than one means the firm is worth less than it owes—it is insolvent.



Retained earnings / total assets

A measure of leverage: a high ratio indicates profits are funding growth; a low ratio indicates growth is financed by debt.



Earnings before interest and taxes / total assets

A measure of return on assets: it gauges operating income generated by assets.



Sales / total assets

A measure of efficiency: the sales generated by the assets.

Corporate success

Efficiently run companies with a healthy balance between assets and liabilities, and profit and debt inspire confidence in investors.

SS Success

Finding the Z score

Each of the above ratios is multiplied by a specific value, to give them weighting; results are added together to give Z score.

- A score of 0.2 or lower means the company is highly likely to fail.
- A score of 0.3 or higher means the company is unlikely to fail.